

\$885,000, the agent thinks, ‘That’s pretty close,’ and takes the offer to the vendor that night.

Now you’re talkin’; now you’re in the game.

It costs how much?! Valuations, estimates and underquoting

The next dinner party you’re at, mention the latest suburb to undergo a property price hike and watch heads shake; there is little more reason needed to open another bottle of wine and drown your sorrows. Before buying a property, you’ll want to understand the machinations of property valuing; why advertised properties carry the price they do, and sell for what they are able to.

Greville Pabst explains there are two parts to the valuation process, which combine and play off each other to generate the price the property is listed at – and ultimately sells for.

1. Technical value

This is the bricks-and-mortar value in the open market, but without the compulsion and emotion that buyers often add into the equation.

The valuer or agent will use direct comparisons with like-for-like properties, including sales of nearby homes within the last six months, adjusting and reasoning the dollar figure up and down on main differences, such as number of bedrooms, land size and the dollar rate per square metre. This is a retrospective estimate, weighted against previous sales and listings.

2. Market sentiment

It’s all about the vibe. This is a measure of how buyers feel about the property, and a level of fervency and enthusiasm can carry the price another ten or 15 per cent above technical value, Pabst says. Like any predictive, projective estimate, it’s intangible and often it’s not clear what this feel-good factor will do to the price until auction day, when bids are tripping over each other like tweens pushing to the front row of a Taylor Swift concert.